

Strategy Experiment V2

A beginner trader summary for 0050, SPY, and QQQ. Generated from the local experiment outputs in strategy_experiment_v2 on 2026-05-25. This is research, not investment advice.

The short version

Buy & hold is still the default benchmark to beat. DCA usually makes the ride easier. Tactical dip-buy rules sometimes improve Sharpe ratio and drawdown, but they often give up some long-term compounding. The strongest lesson is not "timing always wins"; it is "risk control has a cost, so measure that cost honestly."

CONTRAST	REPETITION	ALIGNMENT	PROXIMITY
Dark headings and blue callouts separate key conclusions from raw numbers.	Every result uses the same three metrics: CAGR, Sharpe, and max drawdown.	Tables align comparable strategy families side by side.	Definitions sit near the numbers they explain, so a new trader can read without jumping around.

What Was Tested

Each ETF was tested separately over 5-year and 10-year windows. The experiment compared three broad approaches: all-in buy & hold, monthly 5% DCA, and many tactical rules that move capital between cash and the ETF based on price weakness, recovery, moving-average stretch, RSI, and execution frequency.

The report focuses on holdout results, meaning the later portion of the data. That is stricter than only ranking by full-sample performance, because it asks whether a rule still behaved well after being selected.

Metric Decoder

Metric	Plain-English meaning	Beginner reading
CAGR	Annualized growth rate.	Higher is better, but only if the drawdown is survivable.
Sharpe	Return per unit of volatility.	Above 1 is decent; higher means smoother reward, not guaranteed safety.
Max drawdown	Worst peak-to-trough fall.	This is the number that tests whether you can emotionally hold the strategy.
Trades	Number of buy/sell changes.	Fewer trades usually means less tax, slippage, and complexity.

Main Results

Side-by-side holdout results. The tactical column is the best robust tactical candidate, not the absolute most overfit winner.

ETF	Window	All-in CAGR	All-in Sharpe	All-in DD	DCA CAGR	DCA Sharpe	DCA DD	Tactical CAGR	Tactical Sharpe	Tactical DD
0050	5y	56.8%	1.89	-27.5%	46.4%	2.29	-16.5%	58.7%	2.89	-10.8%
0050	10y	37.9%	1.56	-27.5%	38.4%	1.74	-27.5%	32.3%	1.87	-17.3%
SPY	5y	19.9%	1.17	-18.8%	13.2%	1.20	-11.1%	17.1%	1.50	-8.0%
SPY	10y	19.2%	1.13	-18.8%	17.4%	1.27	-18.8%	21.2%	1.34	-18.8%
QQQ	5y	26.1%	1.20	-22.8%	18.7%	1.31	-13.4%	24.6%	1.52	-11.3%
QQQ	10y	26.2%	1.18	-22.8%	23.3%	1.30	-22.8%	25.5%	1.38	-20.2%

How to read this table

If tactical has slightly lower CAGR but much smaller drawdown and higher Sharpe, it may still be useful for a trader who cannot tolerate large losses. If all-in has much higher CAGR and acceptable drawdown, simplicity may be the better strategy.

Verdict by Market

ETF	Window	Interpretation
0050	5y	Tactical was attractive in this test: better risk-adjusted return without losing CAGR. DCA softened drawdown versus all-in.
0050	10y	Tactical reduced pain, but buy & hold remained hard to beat on raw return. DCA softened drawdown versus all-in.
SPY	5y	Tactical reduced pain, but buy & hold remained hard to beat on raw return. DCA softened drawdown versus all-in.
SPY	10y	Tactical was attractive in this test: better risk-adjusted return without losing CAGR.
QQQ	5y	Tactical reduced pain, but buy & hold remained hard to beat on raw return. DCA softened drawdown versus all-in.
QQQ	10y	Tactical reduced pain, but buy & hold remained hard to beat on raw return. DCA softened drawdown versus all-in.

What A New Trader Should Learn

1. Your real opponent is not a clever strategy. It is abandoning the strategy during drawdown.

A strategy with a high CAGR but a -30% drawdown may be mathematically good and psychologically impossible. DCA and tactical rules often help because they reduce pain, not because they magically predict the market.

2. Buy & hold is not lazy. It is the benchmark.

For broad ETFs like SPY and QQQ, all-in buy & hold was very hard to beat on raw compounding. Tactical rules sometimes improved Sharpe or drawdown, but the cost was often lower CAGR. A rule must beat buy & hold after costs, taxes, and behavioral friction before it deserves trust.

3. Tactical rules worked best when they were simple and patient.

The more believable tactical winners tended to buy weakness and avoid constant trading. Rules with extremely high Sharpe but very low CAGR are useful as risk-control ideas, but they can be too conservative for wealth building.

4. DCA is a behavior tool.

Monthly 5% DCA rarely maximized return, but it often reduced drawdown and made entry timing less stressful. For beginners, that may be worth more than squeezing out every point of CAGR.

5. Do not optimize until the backtest tells a coherent story.

A winning rule should make market sense, survive the holdout period, avoid excessive trades, and not depend on one lucky crash or rebound. If a rule only wins by curve-fitting, it is a trap wearing a lab coat.

Practical Default

A sane beginner policy

Use buy & hold or DCA as the base plan. Consider tactical overlays only as a small risk-control layer, and only after writing down exactly when to buy, when to sell, and when to do nothing. If the rule is too complicated to follow during a bad month, it is too complicated.

Important Caveats

This is a historical backtest, not a forecast. It uses available ETF price histories and strategy definitions from the local v2 experiment. It does not prove future outperformance.

Costs matter. The experiment includes a Taiwan ETF sell tax assumption for 0050 and no sell tax for SPY/QQQ, but real brokerage fees, FX spreads, bid-ask spreads, withholding tax, and personal tax treatment can change the result.

Currency was intentionally not converted. That matches this experiment goal: compare strategy behavior globally inside each ETF. It does not answer what a Taiwan-based investor would experience after TWD/USD movement.

Overfitting risk is real. Testing 78,341 strategy specs is powerful, but also dangerous. The best-looking rule may simply be the rule that got lucky. That is why this report emphasizes robust selections and holdout results instead of only the highest number.

Final takeaway

For a new trader, the evidence still points to a boring core: broad ETF exposure, simple execution, low trading frequency, and a plan you can hold through ugly periods. Tactical timing can help manage risk, but it should be treated as a disciplined overlay, not a replacement for a durable investment plan.